Pairagraph

Business Plan

Read it forward. | One story. Two learners. | October 2026

01 Executive Summary

Pairagraph is a proposed Philippine reading-support platform that helps an older student strengthen literacy while mentoring a younger reader. Rather than treating each child as an isolated user, Pairagraph designs one shared reading session around two distinct learning goals. A teacher remains responsible for instruction, content approval, pairing, and assessment.

The product combines guided read-aloud practice, possible error detection, comprehension checks, teacher-approved reading materials, and Retrieval-Augmented Generation (RAG). RAG retrieves relevant material from an approved library so teachers can review or adapt the next activity without starting from a blank page. It is a planning and feedback aid, not a replacement for a qualified educator.

Pairagraph would initially sell to tutorial centers through a subscription per active learner, then test private-school licenses and sponsored public-school cohorts. The initial pricing hypothesis is ₱80 per active learner per month, subject to interviews, cost testing, and pilot renewal evidence.

Investment case at a glance

Question	Current answer
Problem	Reading gaps remain across Philippine grade levels; individualized practice is hard to sustain. [1][2]
Differentiator	One activity adapts to two learners, supported by a structured mentor role and teacher review.
First buyer	Independent tutorial centers that need repeatable practice plans and progress records.
First proof	Teacher-checked accuracy, reading engagement, preparation time saved, and paid renewal.
Status	Concept / proposed MVP. No customers, clinical or educational efficacy results, or validated pricing are claimed.

What success looks like

The first milestone is not scale. It is an 8–12 week supervised pilot that shows teachers can safely use the tool, both readers participate consistently, learning indicators improve, and at least one center is willing to pay for continued use.

02 Problem Statement

Reading difficulty is not limited to early elementary school. Many students continue progressing through school while still needing support in fluency or comprehension. At the same time, teachers have limited time to prepare individualized exercises and monitor every learner closely.

Evidence behind the need

Finding	Why it matters for Pairagraph
48%	EDCOM II reported that the share of Grades 1–10 learners assessed as grade-level ready or independent readers increased to 48% by March 2026, from 19% in June 2025. The remaining share still needs differentiated support. [1]
12.58%	In a pilot Grade 11 literacy assessment, 12.58% demonstrated independent reading comprehension. This is a separate assessment and should not be combined directly with the Grades 1–10 result. [1]
Time constraints	EDCOM II reported that smaller remediation groups and sustained practice are difficult to reproduce during a congested regular school year. [2]
Existing response	DepEd uses reading assessment tools such as CRLA and Phil-IRI. A complementary product should help teachers act on assessments, not attempt to replace them. [3]

The overlooked learner

A teenager who reads below grade expectations may resist exercises that feel designed for small children. Pairagraph's proposed response is role-based: a carefully selected older learner can practice through reading aloud, asking questions, and explaining a story to a younger child. The aim is confidence and repeated practice, without hiding the older learner's own development needs.

Why the problem remains unsolved

- Individualized instruction takes preparation time: selecting passages, checking errors, designing follow-up questions, and recording progress.
- Generic reading apps usually optimize for one learner; they do not organize a supervised activity around the needs of an older mentor and a younger reader.
- Low-connectivity settings and language differences complicate deployment, especially when speech recognition is used.

Scope note: "48%" is the assessed share classified as grade-level ready or independent; it does not mean that 52% of all Filipino children cannot read. National estimates and Grade 11 pilot findings use different groups and assessments.

03 Proposed Solution

Pairagraph's signature activity is Story Relay. A teacher pairs one older reader with one younger learner and selects a short story from approved materials. The AI assists with assessing practice and selecting the next activity, but the teacher controls pair suitability, learning targets, and final content.

A learning session in five steps

Step	Experience
1 Match	Teacher assigns compatible learners, sets separate targets, and confirms a suitable, supervised pairing.
2 Read	Older learner reads a short story aloud while the younger learner follows along.
3 Retell	Younger learner retells key events and answers simple comprehension questions. The older learner explains or prompts.
4 Review	System flags possible miscues and comprehension issues. Teacher verifies uncertain findings; scores remain provisional until reviewed.
5 Adapt	RAG retrieves appropriate approved content and proposes a next-session task, based on both learners' needs.

Different targets, one activity

Example: the older learner practices decoding multisyllabic Filipino words, while the younger learner works on story sequencing. The same passage intentionally contains a short list of words for the older learner and a three-event plot for the younger learner. Each receives separate feedback; neither learner is evaluated against the other.

Safeguards that belong in the product

- The older learner is a supported peer mentor, not an unpaid substitute for a teacher. The program must never assign a child to teach content they cannot reliably model.
- Both children and their guardians are told that Pairagraph also supports the older learner's reading. No covert recording or covert diagnosis.
- Teachers use opt-in pairing, warm-up training, and an exit option. Students are not publicly labeled "struggling" or ranked against peers.
- Low-confidence speech detections trigger manual review instead of automatic failure labels. Offline mode is a later engineering goal, not an MVP claim.

Why the approach is credible, not proven

Peer tutoring has a broader research base, including reported benefits to both tutors and tutees. But outcomes vary with preparation, structure, and supervision. That evidence does not establish Pairagraph's effectiveness; the two-learner AI design needs its own pilot evaluation. [4]

04 Product and Technology

The first product should serve one tutorial center, one language, and a narrowly scoped skill set. Start with Filipino read-aloud fluency and basic comprehension rather than promising reliable support for every dialect or age band.

MVP workflow

Component	Role in the first release
Approved source library	Teacher uploads or selects licensed stories, lesson plans, and reading passages; material is indexed with grade, topic, language, and permitted-use metadata.
RAG activity builder	Retrieves matching passages by skill and reading level, produces a cited exercise draft, and shows the source passage to the teacher.
Read-aloud check	Compares recognized speech to the assigned text and highlights possible omissions, substitutions, and hesitations for teacher review.
Comprehension check	Captures short answers or retellings from the younger learner, with teacher-confirmed scoring.
Dual progress view	Shows each learner’s target skill, practice frequency, teacher-verified notes, and the next suggested session.

How RAG limits errors

Documents are chunked and indexed. For each activity, the system retrieves matching excerpts and passes only permitted excerpts and target skills to the generation model. Draft questions must link back to source passages. The platform rejects unsupported facts, stores the source reference, and requires educator approval before a new activity is released. Retrieval reduces unsupported content; it does not eliminate hallucinations or incorrect pedagogy.

Engineering choices

- Start with a responsive web app and assisted teacher workflow; Android/offline packaging follows if field tests justify it.
- Benchmark Filipino speech recognition against teacher-annotated recordings before relying on word-level flags; pilot Cebuano only after separate validation.
- Avoid retaining raw voice clips by default. If a teacher needs a recording for review, obtain an appropriate lawful basis, limit access, and apply short retention rules.
- Log document sources, corrections, human approvals, and model versions to make decisions auditable.

Do not overbuild

Exclude automatic pairing, unsupervised AI tutoring, generalized literacy diagnosis, large-scale offline speech processing, and public performance leaderboards from the first release. Success depends on trustworthy workflow and teacher adoption, not a long feature list.

05 Target Market

Pairagraph is designed as institution-funded reading support, not a consumer app that expects parents to buy another subscription. The initial segment is private tutorial centers already serving learners with mixed reading levels and needing a practical way to document progress.

Segment	Need / sales motion	Priority
Tutorial centers	Quick setup, reusable practice, parent-facing progress summaries; sell through owner-led pilots.	First
Private K–12 schools	Teacher review and reporting across classes; longer security and approval process.	Second
Sponsored public cohorts	Reading access funded by LGUs, NGOs, CSR sponsors, or education partners; procurement and privacy review required.	Later

As evidence that institutions spend on literacy improvement, Quezon City reported funding training for more than 420 public elementary teachers and piloting its Reading Model School program in 12 schools. That supports the existence of literacy budgets, not willingness to purchase Pairagraph. [5]

Market-sizing method

Do not claim an unsupported nationwide TAM. Build a bottom-up list of reachable centers by city, estimate enrolled eligible learners through interviews, and apply a realistic conversion and average-license assumption. The first operating market could be Cebu-based centers, with expansion determined by sales and learning results.

06 Competitive Analysis

Alternative	What it already offers	Pairagraph's testable distinction
Microsoft Reading Coach	Free AI-assisted fluency practice, difficult-word detection, and personalized stories. [6]	A teacher-managed session with two separate learner goals.
Google Read Along	Free guided reading feedback, offline Android usage, and teacher activity tracking. [7]	Supervised older-younger pair workflow, not standalone reading.
DSWD Tara, Basa!	Existing human-led tutoring system using college-student tutors and elementary readers. [8]	A software layer for structured dual-learner planning and monitoring; possible complement, not direct replacement.

The competitor set shows that neither speech-based reading feedback, generated practice, offline access, nor tutoring is novel on its own. Pairagraph must win on the quality of dual-learner activities, teacher adoption, reliable local content, and measurable results.

07 Business Model

Charge institutions for active learners with a minimum monthly commitment. Students use Pairagraph through their school or tutorial center. Sponsored seats for public-school cohorts follow the same delivery discipline but are paid for by an organization instead of the family.

Pilot pricing hypotheses

Offer	Illustrative structure	Validation needed
Center subscription	₱80 per active learner / month; suggested ₱8,000 monthly minimum per site.	Owner willingness to pay and utilization.
Example center	150 active learners × ₱80 = ₱12,000 monthly gross billings.	Actual seat counts, churn, discounts, VAT.
Sponsored cohort	Fixed cohort fee derived from active learners, onboarding, and support.	Procurement route and sponsor budget.

“Active learner” should mean a learner who completes at least one supervised session during the billing month; the commercial definition must be written into a pilot agreement. Model costs and pricing must be revisited before formal contracts. No customer has accepted this pricing yet.

08 Marketing and Growth Strategy

The strongest sales message is simple: provide structured reading practice for two learners and show teachers where to focus next. Avoid promising higher scores until measured.

First 90 days of go-to-market

- Interview at least 15 center owners and reading teachers about workflow, software budgets, evidence requirements, and common reasons for non-renewal.
- Recruit one design-partner center for a supervised pilot with a documented consent and safety process.
- Offer a demo using actual teacher-approved documents, not generic AI-generated examples.
- Track setup time, weekly active pairs, teacher editing time, teacher trust, and willingness to convert to a paid license.

Acquisition and retention

Begin with founder-led outreach to centers, demonstrations at educator communities, and introductions through school reading coordinators. Renewal should be earned through reliable progress reporting, low staff workload, and observable learner participation. Expansion to private schools and funded public pilots follows verified center outcomes, not untested claims.

09 Operations and Implementation

Pairagraph will need both technical execution and sound reading instruction. The minimum operating team combines a product/engineering lead, a qualified literacy adviser, a part-time educator reviewer, and someone responsible for training and customer support. Roles can initially be combined, but instructional and privacy review cannot be skipped.

Operating responsibilities

Owner	Responsibility
Product / engineering	App reliability, speech evaluation, data security, RAG source tracing, cost monitoring.
Literacy specialist	Approved reading progressions, rubric design, age suitability, skills taxonomy.
Teacher / center	Learner consent workflow, pairing, activity approval, manual checks, safeguarding.
Founder / partnerships	Institution onboarding, pricing tests, service quality, billing and renewals.

Student safety and privacy

Reading recordings, profiles, and assessments can identify children. The Philippines' Data Privacy Act of 2012 requires transparency, legitimate purpose, proportionality, and appropriate safeguards. National Privacy Commission guidance also stresses clear notice to learners and guardians and care when recording classes. Pairagraph should obtain legal advice on the appropriate lawful basis, controller/processor responsibilities, and contracts with schools. [9][10]

- Seek parent/guardian participation in the pilot consent process; provide age-appropriate explanations and a genuine opt-out.
- Collect the minimum information needed; use pseudonymous learner IDs and restrict teacher access to assigned groups.
- Set documented deletion windows for recordings and text logs; encrypt data at rest and in transit; document vendor data flows.
- Moderate generated passages, prevent bullying or public ranking, and maintain a teacher escalation path for safety concerns.

Pilot protocol

Start with 20 older-younger pairs, approximately 10–15 minutes per session, two or three sessions per week over 8–12 weeks. This is a proposed sample for feasibility, not a statistically powered efficacy trial. Compare independently administered baseline and endline reading measures, ask teachers to log preparation time, and record withdrawals

and technical failures. Where practical, recruit a comparable non-app group and report differences cautiously.

10 Financial Plan

This model is a decision tool, not a forecast. All prices, learner counts, costs, and timing are hypothetical. Numbers are in Philippine pesos and exclude VAT, income tax, financing costs, and depreciation. No signed contracts or recurring revenue exist.

Core assumptions

Assumption	Base case	Reason / next check
Price	₱80 / active learner / month	Test with center owners.
Variable delivery cost	₱22 / learner / month	Illustrative speech, generation, hosting and variable support.
Contribution / learner	₱58 / month (72.5%)	Price less variable cost; excludes fixed costs.
Average paid learners	Y1: 400; Y2: 1,800; Y3: 5,000	Growth assumptions, not acquired customers.
Annual fixed operating cost	Y1: ₱1.2m; Y2: ₱2.0m; Y3: ₱3.0m	Lean staffing, review, software, sales and general overhead.

Illustrative three-year operating case

Metric	Year 1	Year 2	Year 3
Average paid learners	400	1,800	5,000
Subscription revenue	₱384,000	₱1,728,000	₱4,800,000
Variable delivery cost	(₱105,600)	(₱475,200)	(₱1,320,000)
Gross contribution	₱278,400	₱1,252,800	₱3,480,000
Fixed operating cost	(₱1,200,000)	(₱2,000,000)	(₱3,000,000)
Illustrative operating result	(₱921,600)	(₱747,200)	₱480,000

Break-even and capital requirement

At the assumed ₱58 monthly contribution per learner and ₱3.0 million yearly fixed cost, annual operating break-even is approximately 4,311 average paid learners, equivalent to roughly 29 centers with 150 active learners each. A separate, illustrative ₱300,000 startup build and setup budget plus cumulative Year 1–2 operating deficits of ₱1,668,800 suggests at least ₱1.97 million of pre-break-even funding, before contingency, working capital, taxes, or delayed collections. This is not a funding ask backed by vendor quotations.

Sensitivity to pricing and activity cost

At ₱60 per learner and ₱22 variable cost, contribution is ₱38 and Year 3 break-even rises to about 6,579 learners. At ₱100 pricing with the same cost, contribution is ₱78 and

break-even falls to about 3,206 learners. A pilot must test billable activity, renewal, model inference costs, and discount pressure before these numbers inform investment.

11 Social Impact and SDGs

Pairagraph's intended impact is stronger reading opportunities for students who have already fallen behind and more consistent practice for younger readers. Progress must be demonstrated rather than inferred from app activity.

Impact commitments

Measure	How to verify
Reading fluency	Teacher-validated words-correct-per-minute and miscues on comparable passages, assessed separately for each learner.
Comprehension	Standardized or teacher-scored questions and retell rubrics at baseline and endline.
Participation and confidence	Completed sessions, persistence, and optional short learner/teacher feedback; do not equate engagement with learning gains.
Teacher workload	Minutes spent preparing, checking, and reporting per pair; compare with usual practice.
Equity	Access and retention split by available connectivity, learner needs, and subsidized status, subject to privacy safeguards.

SDG alignment

SDG 4 — Quality Education is the primary goal, particularly Targets 4.1 and 4.6 on learning outcomes and literacy. SDG 10 — Reduced Inequalities is a secondary goal through targeted access and sponsored cohorts, consistent with Target 10.2 on inclusion. These are intended contributions, not measured SDG results. [11][12]

Risks and evidence gates

Risk	Minimum acceptance criterion
Speech misclassification	Agreement with teacher annotations high enough for assistive flagging; publish false-positive rates by learner group.
Content inaccuracies	100% of pilot activities sourced to permitted content and approved before learners see them.
Older mentor overload	Teacher screening, short sessions, tutor support, and monitoring for frustration or incorrect modeling.
Weak buyer demand	At least one center accepts paid continuation at a sustainable price.
Unproven learning benefit	Report pre/post results honestly; pursue stronger controlled evaluation before claims of efficacy.

12 Roadmap and Future Plans

Phase	Scope	Go / no-go evidence
0–4 weeks: MVP	Approved document upload, RAG retrieval, one Filipino reading passage, manual skills input, basic session view.	A complete teacher-reviewed session runs without unsupported content.
Months 2–4: design pilot	20 learner pairs; consent, supervised recording, annotated speech evaluation, teacher dashboard.	Acceptable error review burden and consistent participation.
Months 5–8: paid pilot	Offer a limited center license; refine billing, reports, training, and support.	Willingness to pay plus repeat use and teacher trust.
Months 9–18: focused growth	Expand to nearby centers with demonstrated retention; improve cost and reliability.	Sustainable unit economics and renewals.
Later: broader access	Add language coverage only after validation; explore offline Android and sponsored public cohorts.	Safety, language quality, funding, and institutional approvals.

Decisions that determine whether to proceed

The next decision rests on four tests: reliable AI flags with manageable teacher review; safe and engaging paired sessions; a paid renewal that covers delivery; and independent reading measures that show whether either learner actually improves.

Open assumptions

The launch city, founding team, supplier contracts, approved curriculum partners, domain/trademark availability, copyright licenses, unit costs, customer pipeline, and financing source remain undecided. This document does not assume ownership of the brand name or access to school records.

References

[1] EDCOM II (2026). Improvements seen, but half of learners still below grade level in literacy. Source

[2] EDCOM II (2025). Summer remediation program boosts literacy for 96% of struggling Grade 3 readers. Source

[3] Department of Education (2025). Comprehensive Rapid Literacy Assessment / national literacy tools. Source

[4] Education Endowment Foundation. Peer tutoring (Teaching and Learning Toolkit). Source

[5] Quezon City Government (2026). Reading Model School teacher training. Source

[6] Microsoft. Reading Coach official product and support pages. Source

[7] Google. Read Along product information. Source

[8] DSWD (2026). Tara, Basa! Tutoring Program. Source

[9] Republic Act No. 10173 (2012). Data Privacy Act of 2012. Source

[10] National Privacy Commission. Privacy do’s and don’ts for public K–12 online learning. Source

[11] United Nations. Sustainable Development Goal 4. Source

[12] United Nations. Sustainable Development Goal 10. Source